



**Comments received by Verra during the public comment period 22 December  
2022 – 21 January 2023 of 413 REDD Project**

**(Project ID2586)**

Published 25 July 2023

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**Comment 1**

Date: 20 January 2023

Sent by: Victor Ferraz

Organization: NBS Brazil Alliance, Email: [nbs@nbsbrazilalliance.com](mailto:nbs@nbsbrazilalliance.com)

The Nature-based Solutions Brazil Alliance aims to promote and stimulate an agenda to discourage deforestation and forest degradation through the creation of guidelines and good practices, generating a safe and reliable business environment. The NBS Brazil Alliance appreciates this opportunity to share input on the 413 REDD PROJECT. The open consultation process and the possibility to participate actively is an opportunity to improve the integrity of the carbon credits.

As a non-profit association of project developers whose members are: Agrocortex, Bioassets, Biofíllica, Biofix, BR Carbon, BVRio, Carbon Credits Consulting, Carbonext,, Conservação Internacional Brasil, Ecosecurities, ERA Brazil, FAS, IDESAM, Impact Earth, Instituto Ekos Brasil, MyCarbon, Permian Brasil, Radicle, Rioterra, South Pole, Sustainable Carbon and Volkswagen Climate-Partner, it is great to see new carbon projects being developed.

The following aspects contained within the Project Description were seen as concerns:

**Methodology and Baseline**

The additionality of this APD project is based on the recurrent conversion of forest into pasture for livestock and the sale of wood. This conversion is being guided by the Brazilian Forestry Code, where the landowner can suppress the Legal Reserve surplus. In the case of the property in question, located in the Legal Amazon, up to 20% of the total area of the property can be removed, provided that it has the vegetation suppression license (LSV) approved. The process for obtaining this environmental license is still open, that is, the removal of vegetation has not yet been approved:

| Informações do Processo                                              |                   |
|----------------------------------------------------------------------|-------------------|
| Processo : 01.01.030201.002026/2021-82                               | Situação : Aberto |
| Assunto : 1330 - SOLICITAÇÃO DE LICENÇA AMBIENTAL                    |                   |
| Órgão/Entidade : IPAAM - INSTITUTO DE PROTEÇÃO AMBIENTAL DO AMAZONAS |                   |

| Interessado          |                                               |
|----------------------|-----------------------------------------------|
| CPF : 016.232.028-09 | Interessado : LUIZ ERNESTO PEREIRA DOS SANTOS |

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| Data       | Setor   | Evento                                                         |
|------------|---------|----------------------------------------------------------------|
| 23/06/2022 | GCAP    | 239 - NOTIFICAÇÃO AO CONTRIBUINTE - PROTOCOLO VIRTUAL          |
| 15/03/2022 | GCAP    | 59 - TRAMITANDO                                                |
| 27/02/2022 | G700573 | 50 - CONHECIMENTO E PROVIDENCIAS, NOS TERMOS DO DESPACHO ANEXO |
| 02/12/2021 | GCAP    | 59 - TRAMITANDO                                                |
| 30/11/2021 | G005803 | 50 - CONHECIMENTO E PROVIDENCIAS, NOS TERMOS DO DESPACHO ANEXO |
| 25/11/2021 | GCAP    | 245 - PARA ANÁLISE E PROVIDÊNCIAS                              |
| 25/11/2021 | G103142 | 245 - PARA ANÁLISE E PROVIDÊNCIAS                              |
| 25/11/2021 | GEPR    | 129 - REGISTRO NA CENTRAL DE ATENDIMENTO                       |

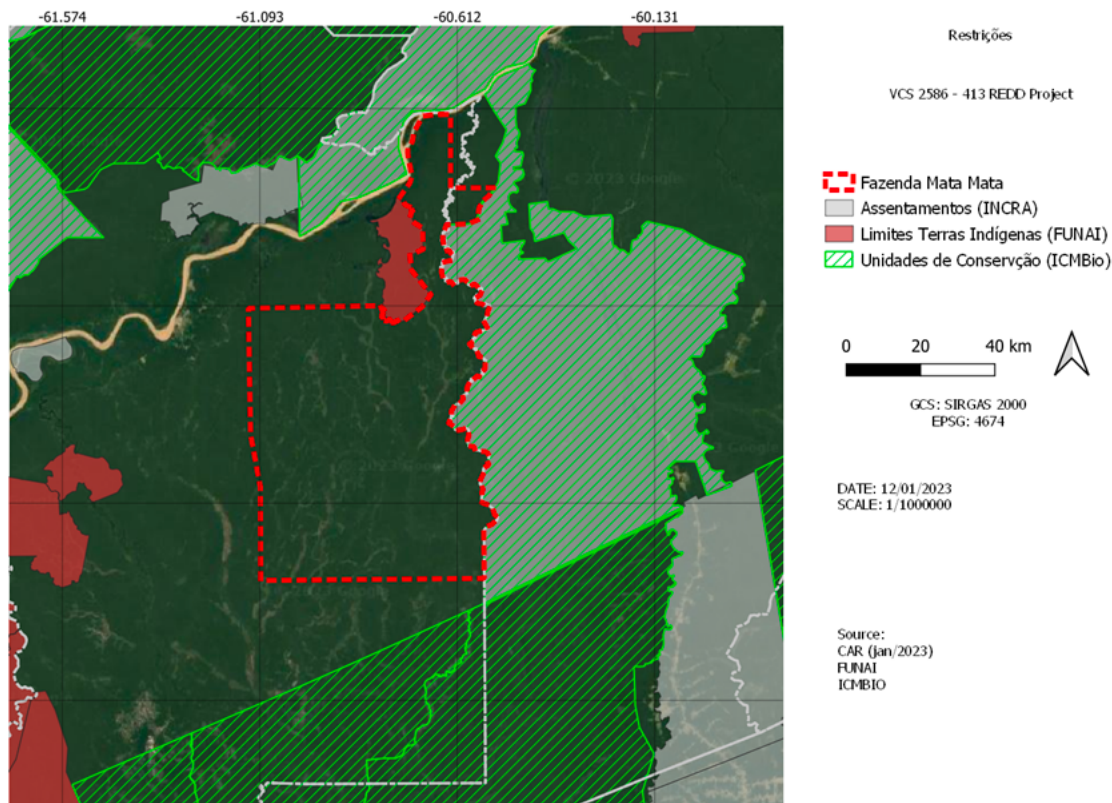
One of the items that is requested as a “Basic Requirement” for the vegetation suppression license by IPAAM (Amazon Environmental Protection Institute) is the receipt of the CAR (Rural Environmental Registry). The situation of the property in relation to the CAR will be explained in the section “Ownership and Project Proponents”.

For this APD (Avoiding Planned Deforestation) project, 10 proxy areas were chosen, but areas significantly smaller than the project property (496,342 ha). It is recommended to use larger areas, such as the project, so that the reality of the region is more accurately portrayed. The use of a sum of small areas can inflate the deforestation rate.

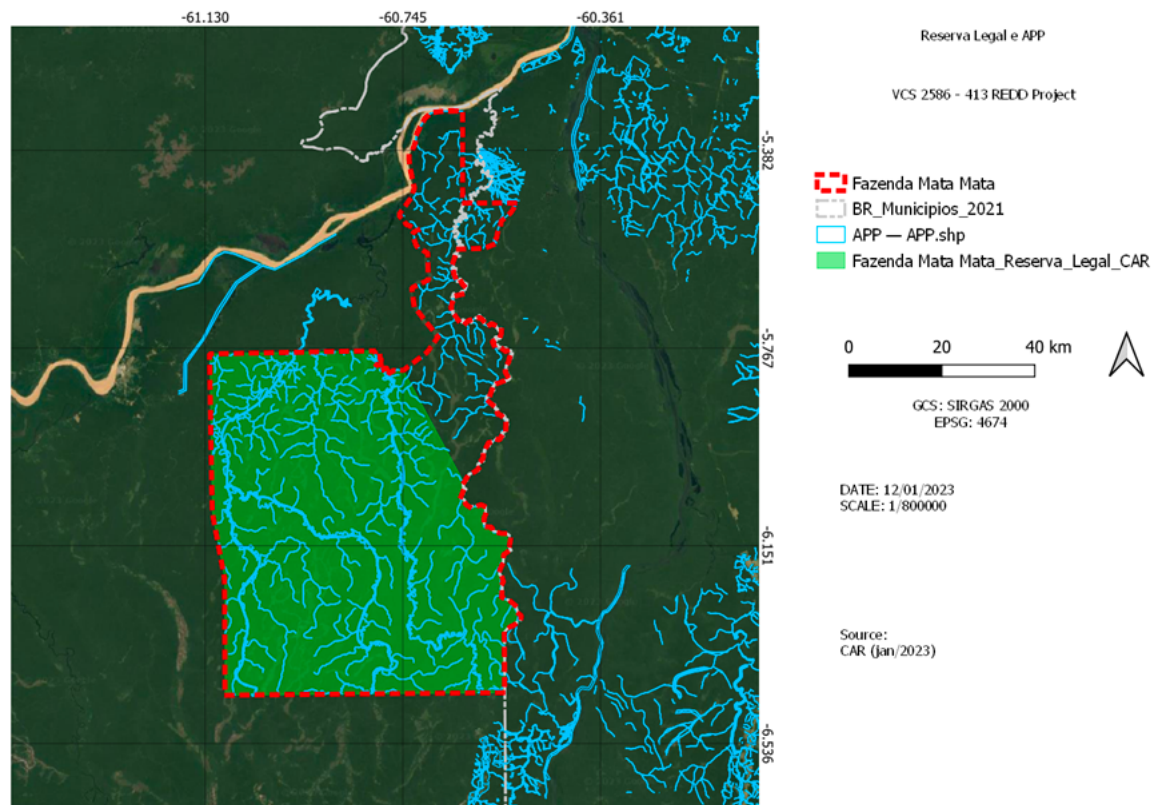
| Proxy ID | Total Forest Area (ha) | Net Forest Area (ha) | Total Def (ha) | % Def | Years of Def | %Def/yr |
|----------|------------------------|----------------------|----------------|-------|--------------|---------|
| P_1      | 13,615                 | 12,932               | 2,736          | 21.2% | 10           | 2.1%    |
| P_4      | 61,270                 | 59,796               | 17,282         | 28.9% | 10           | 2.9%    |
| P_5      | 32,771                 | 32,114               | 2,206          | 6.9%  | 9            | 0.8%    |
| P_6      | 32,784                 | 31,680               | 5,910          | 18.7% | 9            | 2.1%    |
| P_8      | 118,477                | 118,468              | 35             | 0.0%  | 1            | 0.0%    |
| P_9      | 19,970                 | 19,735               | 2,761          | 14.0% | 10           | 1.4%    |
| P_10     | 17,575                 | 16,386               | 4,910          | 30.0% | 10           | 3.0%    |

## Ownership and Project Proponents

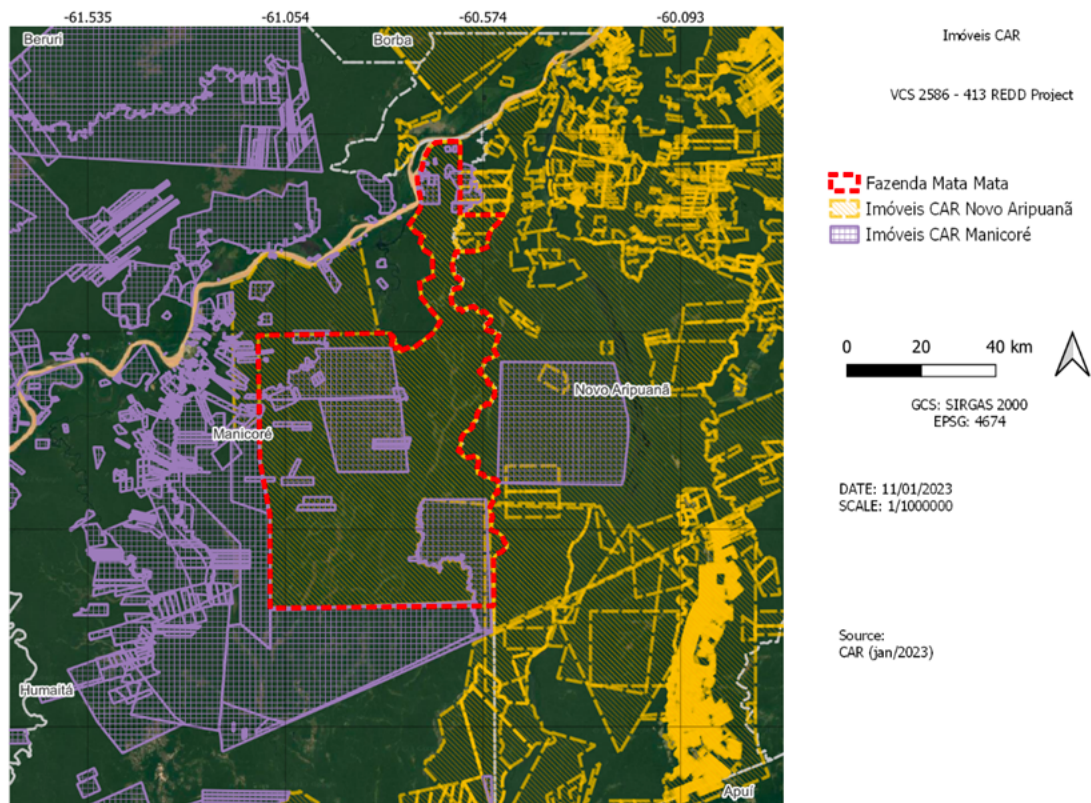
Ownership of the land is given to Luiz Ernesto Pereira Taranto through land regularization carried out at the Registry Office of the municipality of Novo Aripuanã, as presented by the project. In spatial analysis, the project property does not intersect with settlements, Conservation Units, Indigenous Lands and Quilombolas. They only share boundaries with these protected areas as shown in the map below:



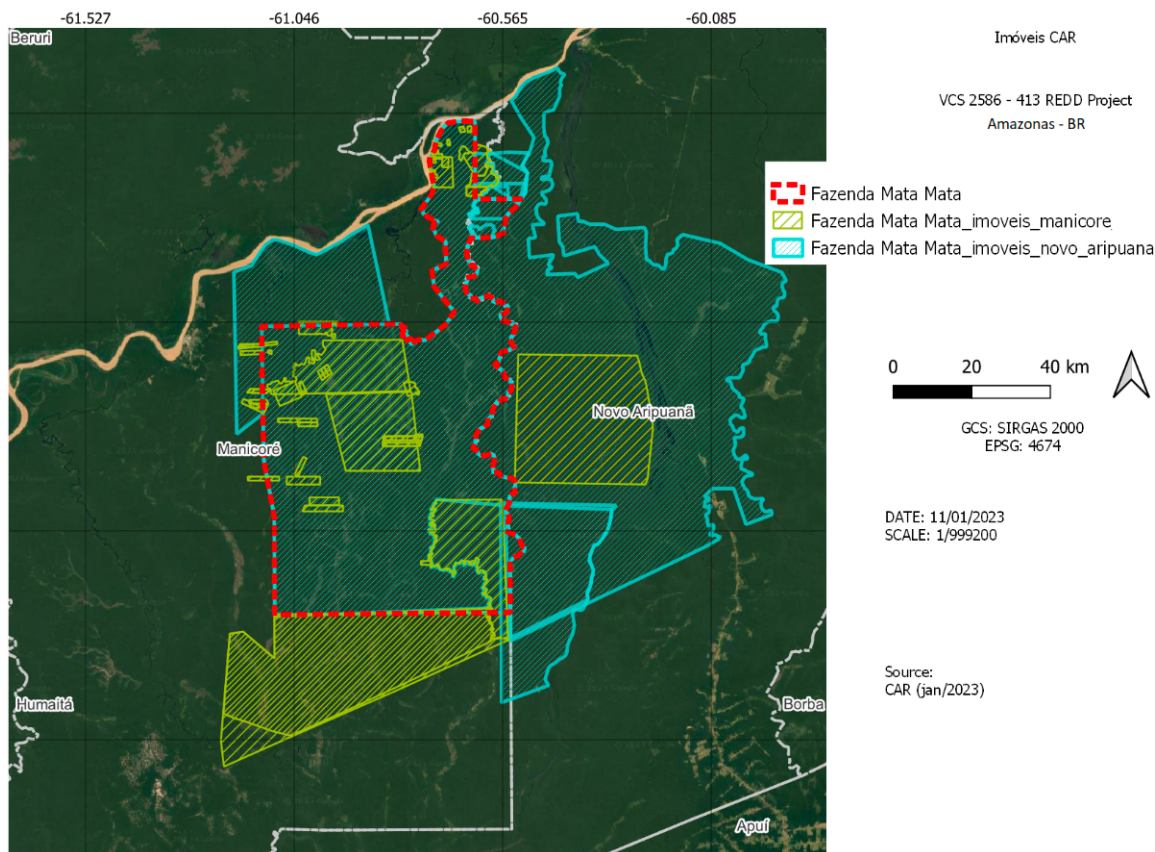
Below we have the representation of self-declared CAR data referring to the Legal Reserve and APP (Permanent Preservation Area) present on the property. The Legal Reserve Area corresponds to the 80% required by law, as shown in the map below.



CAR Analysis: The following figure shows the layout of the CAR (Rural Environmental Registry) properties close to the Mata Mata I Farm polygon used in the 413 REDD Project of December 13, 2022:



The next figure illustrates the CAR of properties in the municipalities of Novo Aripuanã-AM and Manicoré-AM that intersect with the polygon of the property under study:



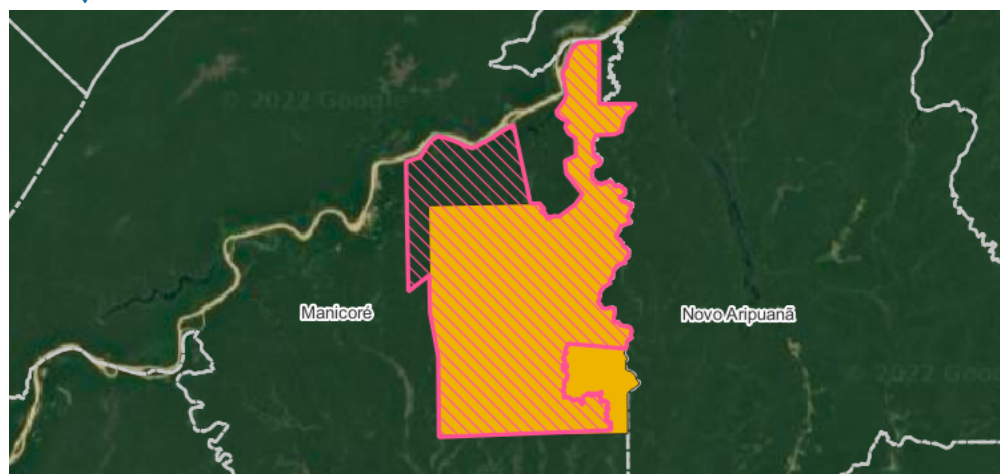
As seen on the map, there are several overlapping properties registered with the CAR, showing the following number of intersections, totaling 65 intersections of other properties.

| City          | CAR properties with polygonal intersection Mata Mata I |
|---------------|--------------------------------------------------------|
| Manicoré      | 55                                                     |
| Novo Aripuanã | 10                                                     |
| TOTAL         | 65                                                     |

The limit with geometric and area equity present in the project under analysis is represented by the CAR code AM-1303304-8BB9.A244.F3C6.4D17.9341.4B90.65A7.F896, which presents the following registered information:

|                                                        |                                                                                   |        |
|--------------------------------------------------------|-----------------------------------------------------------------------------------|--------|
| CAR code                                               | AM-1303304-8BB9.A244.F3C6.4D17.9341.4B90.65A7.F896                                |        |
| Polygonal                                              |  |        |
| Registration                                           | <b>Suspended</b>                                                                  |        |
| Condition                                              | Analyzed with pendencies, awaiting rectification and/or presentation of documents |        |
| Date of registration in SiCAR:                         | 09/28/2019                                                                        |        |
| CAR analysis date:                                     | 11/30/2021                                                                        |        |
| Date of last rectification:                            | 08/21/2020                                                                        |        |
| Property area                                          | 501,355.94                                                                        |        |
| Native vegetation                                      | 98,963.51                                                                         | 19.74% |
| Proposed Legal Reserve                                 | 401,964.55                                                                        | 80.18% |
| Situation                                              | Not analyzed                                                                      |        |
| APP                                                    | 11,937.50                                                                         | 2.38%  |
| APP in consolidated area                               | 2,429.57                                                                          | 0.48%  |
| APP in native vegetation                               | 2,429.57                                                                          | 0.48%  |
| Embargoed area overlap                                 | 0.005                                                                             | 0.00%  |
| Indigenous land                                        | 28.9333                                                                           | 0.01%  |
| Infraction: cutting or turning hardwood into charcoal. | -                                                                                 |        |

As noted in the table above, the property rectified in August 2020 has its registration suspended on condition that it is analyzed with pending issues, awaiting rectification and/or presentation of documents. An erroneously presented point is the amount of Native Vegetation (98,963.51 ha) that would occupy 19.74% of the size of the property. Another point of alert in relation to the CAR refers to the possible conflict of another registered property (AM-1303304-2FF3.9DE4.AB1F.4EF9.9C58.CD84.7560.A6F4) which has a great overlap with the property under study and contemplates the REDD project area in the northern portion of the site:



Below is a comparative table of the two properties registered in the CAR:

|                                       |                                                                                    |                                                                                    |
|---------------------------------------|------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| <b>CAR code</b>                       | <b>AM-1303304-8BB9.A2<br/>44.F3C6.4D17.9341.4B<br/>90.65A7.F896</b>                | <b>AM-1303304-2FF3.9D<br/>E4.AB1F.4EF9.9C58.C<br/>D84.7560.A6F4</b>                |
| <b>Polygonal</b>                      |  |  |
| <b>Final code</b>                     | <b>F896</b>                                                                        | <b>A6F4</b>                                                                        |
| <b>Registration</b>                   | <b>Suspended</b>                                                                   | <b>Suspended</b>                                                                   |
| <b>Condition</b>                      | Analyzed with pendencies, awaiting rectification and/or presentation of documents  | Awaiting analysis, not subject to data revision                                    |
| <b>Date of registration in SiCAR:</b> | <b>09/28/2019</b>                                                                  | <b>04/24/2020</b>                                                                  |
| <b>CAR analysis date:</b>             | <b>11/30/2021</b>                                                                  | <b>02/16/2022</b>                                                                  |
| <b>Date of last rectification:</b>    | <b>08/21/2020</b>                                                                  | <b>07/07/2021</b>                                                                  |
|                                       |                                                                                    |                                                                                    |



|                                                        |              |        |              |        |
|--------------------------------------------------------|--------------|--------|--------------|--------|
| Property area                                          | 501,355.94   |        | 549,826.32   |        |
| Native vegetation                                      | 98,963.51    | 19.74% | 545,132.14   | 99.15% |
| Proposed Legal Reserve                                 | 401,964.55   | 80.18% | 441,315.52   | 80.26% |
| Situation                                              | Not analyzed |        | Not analyzed |        |
| APP                                                    | 11,937.50    | 2.38%  | 8,730.83     | 1.59%  |
| APP in consolidated area                               | 2,429.57     | 0.48%  | 8,635.58     | 1.57%  |
| APP in native vegetation                               | 2,429.57     | 0.48%  | 8,635.58     | 1.57%  |
| Embargoed area overlap                                 | 0.005        | 0.00%  | 0.005        | 0.000% |
| Indigenous land                                        | 28.9333      | 0.01%  | 0            | 0.000% |
| Infraction: cutting or turning hardwood into charcoal. | -            |        | 3.1273       | 0.001% |

There is a conflict regarding the dates, in which the final property A6F4 was registered and rectified after the property F896 used in the project. It is noteworthy that the analysis of the CAR was also carried out later (02/16/2022), 10 months after the publication of the REDD+ project document.

The proportion of native vegetation on the property is more coherent in the property A6F4 covering 99.15% of the total area. Briefly analyzing the Property Chain Certificate (Appendix 1), the area in the document (549,495.1868 ha) is different from that described in the project's PD (496,342 ha).

The project has a governance structure, as described in Appendix 2, but there are not many details about how the local governance of the property will be to ensure its conservation. Also, it is not clear in the project who will commercialize the credits, it being understood that it will be the proponent (413 Environmental, LCC).

### Local Stakeholder Consultation and AFOLU-Specific Safeguards

Three Public Consultations related to the project were documented: Novo Aripuanã-AM, Manaus-AM and Rio Maripaua-AM, respectively. All local public consultations were monitored by FAS (Sustainable Amazon Foundation), according to the documentation in Appendix 3.

As the table below shows, 82.41% of the project credits are estimated to be issued in the first 10 years of the project, which raises concerns about the permanence of the project for the next 20 years, as a cash flow to maintain all the actions that are promised in PD for the 30 years of the project.



| Year                            | Estimated GHG reductions or removals (tCO2e) | emission % per emission |
|---------------------------------|----------------------------------------------|-------------------------|
| 2021                            | 3,123,313                                    | 7.10%                   |
| 2022                            | 3,236,221                                    | 7.36%                   |
| 2023                            | 3,346,986                                    | 7.61%                   |
| 2024                            | 3,457,750                                    | 7.86%                   |
| 2025                            | 3,568,515                                    | 8.12%                   |
| 2026                            | 3,679,279                                    | 8.37%                   |
| 2027                            | 3,790,044                                    | 8.62%                   |
| 2028                            | 3,900,808                                    | 8.87%                   |
| 2029                            | 4,011,573                                    | 9.12%                   |
| 2030                            | 4,122,337                                    | 9.37%                   |
| 2031                            | 2,500,973                                    | 5.69%                   |
| 2032                            | 954,002                                      | 2.17%                   |
| 2033                            | 85,066                                       | 0.19%                   |
| 2034                            | 747,318                                      | 1.70%                   |
| 2035                            | 643,976                                      | 1.46%                   |
| 2036                            | 540,634                                      | 1.23%                   |
| 2037                            | 437,291                                      | 0.99%                   |
| 2038                            | 333,949                                      | 0.76%                   |
| 2039                            | 230,607                                      | 0.52%                   |
| 2040                            | 127,265                                      | 0.29%                   |
| 2041                            | 70,358                                       | 0.16%                   |
| 2042                            | 62,936                                       | 0.14%                   |
| 2043                            | 55,513                                       | 0.13%                   |
| 2044                            | 48,091                                       | 0.11%                   |
| 2045                            | 40,668                                       | 0.09%                   |
| 2046                            | 33,246                                       | 0.08%                   |
| 2047                            | 25,823                                       | 0.06%                   |
| 2048                            | 18,401                                       | 0.04%                   |
| 2049                            | 10,978                                       | 0.02%                   |
| 2050                            | 3,556                                        | 0.01%                   |
| Total estimated ERs             | 43,973,073                                   | 100.00%                 |
| Total number of crediting years | 30                                           |                         |
| Average annual ERs              | 1,465,769                                    |                         |

82.41%